STEEL · JAPAN · TOKYO STOCK EXCHANGE: 5401

Nippon Steel

Priced as a declining Japanese steelmaker; becoming a global producer with overseas profit set to more than double

● OVERWEIGHT | Conviction idea | Conviction: Medium | 2-3 years

THE CALL	CLOSE, 29 OCT 2026
Rating	● OVERWEIGHT
Price	¥659.20
Base-case value Price to book against the return path	¥915.56
Upside to base case	+39%
Market cap	¥3,429.8bn
52-week range	¥530.50 – ¥718.50

01 Overview

Nippon Steel entered the portfolio in June 2025, the month it closed the U.S. Steel acquisition, and ranked first of 62 Materials stocks in December 2025. It is a turnaround inside a cyclical industry, so the value signal is only a starting point. This note explains the three engines of the group, the policy context in the US and China, and how to think about book value when returns are depressed.

> Nippon Steel trades at about 0.54x book. The market sees a domestic steelmaker hit by Chinese exports. We see a group whose overseas profit is guided from ¥123bn to ¥320bn in one year, led by U.S. Steel behind US tariffs, with permanent financing in place and a ¥24 minimum dividend.

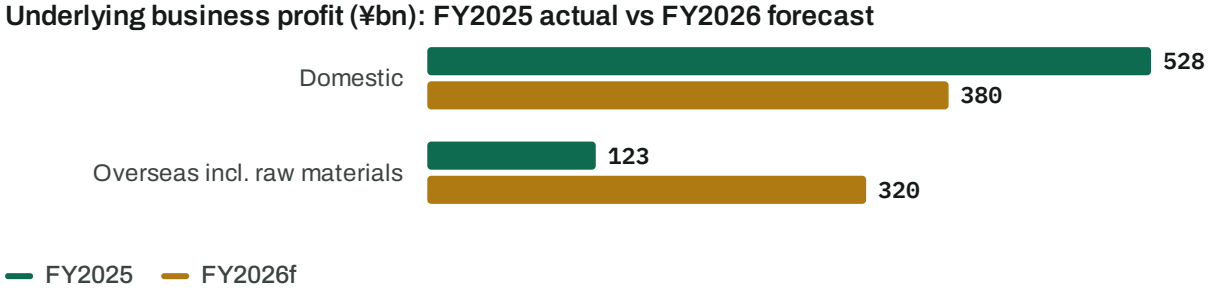
MARKET CAP	P/B (THIRD-PARTY)	FY26 UNDERLYING PROFIT GUIDE	YIELD ON ¥24 FLOOR
¥3.43tn	0.54x	≥ ¥700bn	3.6%

02 The business

Nippon Steel makes flat and long steel products for cars, construction, shipbuilding and energy. In Japan it runs integrated blast-furnace works. Domestic demand is shrinking, so the company has closed capacity (Kashima upstream) and moved customers to contract prices that pass through input costs.

Overseas is the growth engine. U.S. Steel, bought for about $14.9bn in June 2025, makes it a large US producer. The US government holds a golden share that lets it veto plant closures and capacity cuts. AM/NS India, a joint venture with ArcelorMittal, is expanding from about 9 to 15 Mt a year.

Japanese companies report several profit lines. 'Underlying business profit' strips out inventory valuation effects and is the best measure of operating earning power. FY2025 profit to owners was only ¥17bn because of ¥271bn of impairments and losses on exiting AM/NS Calvert and Usiminas.



Domestic steel

Japan's largest integrated steelmaker: ¥528bn of underlying business profit in FY2025, restructured.

U.S. Steel

100% owned since June 2025 (~$14.9bn), under a National Security Agreement with a US golden share.

India and other overseas

AM/NS India JV with ArcelorMittal (capacity 9 to 15 Mt/yr), Thai and ASEAN operations, Ovako, Nippon Steel Slovakia.

Raw materials

Coking coal interests: a partial hedge on input costs.

03 Industry & macro

Global steel is oversupplied. China exported a record of about 119 Mt in 2025, which depresses prices across Asia. That is the main reason the domestic business forecast was cut by ¥90bn in August 2026.

The US is protected. Section 232 tariffs keep imported steel out, so U.S. Steel sells at higher prices. The thesis relies on that protection lasting.

Currency and energy cut both ways. A yen at ¥160 per dollar lifts overseas profits in yen and creates inventory valuation gains (about ¥80bn), while the 2026 Middle East conflict raised raw-material, fuel and logistics costs by about ¥60bn.

CHINESE STEEL EXPORTS

~119 Mt

Record in 2025 per the company: the main pressure on Asian spreads.

US STEEL TARIFFS

Section 232

Protect U.S. Steel's pricing; the investment case leans on them.

YEN

¥160/$

FY2026 assumption: a weak yen lifts overseas profits in yen and inventory valuation gains (¥80bn).

MIDDLE EAST COSTS

−¥60bn

FY2026 impact from raw materials, fuel, logistics and lost exports, absorbed in the guide.

04 What happened

The events that shaped the stock, in order.

Jan 2025
Deal blocked by President Biden, later re-reviewed

13 Jun 2025
National Security Agreement with a US golden share

18 Jun 2025
U.S. Steel acquisition closes (~¥2tn bridge loan)

12 Dec 2025
2030 plan: ≥ ¥1tn underlying profit, ROE ~10%, ¥24 minimum DPS

24 Feb 2026
¥600bn zero-coupon convertibles (conversion ~¥730-737)

18 Mar 2026
¥900bn JBIC-led financing; bridge loan fully repaid

4 Aug 2026
FY2026 profit forecast raised to ¥290bn; U.S. Steel to ≥ ¥180bn

1 Oct 2026
USSK becomes Nippon Steel Slovakia

05 Why the screen picked it

On the December 2025 score Nippon Steel had z-scores of +3.3 on book-to-price, +2.3 on FCF yield, +2.3 on sales-to-EV and +2.2 on earnings-to-price within Materials, using FY2024 (March 2025) accounts. Its P/B was 0.56x against 1.62x for its peers. EBIT-to-EV was only +0.5: the debt raised for U.S. Steel weighed on the enterprise value.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+2.12 rank 1 of 62 in Materials	**FY to 2025-03** year-end + 6-month lag	**2.0% / 2.0% / 4.0%** equal · min-var · mean-var	**−14.1%** benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	NIPPON STEEL	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	13.58x	13.14x	17.73x
P/B	0.56x	1.62x	2.28x
P/FCF	8.06x	57.99x	23.11x
EV/Sales	0.62x	1.26x	2.29x
P/E	8.76x	16.97x	24.47x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2025-06, 2025-12.

06 Investment thesis

01 Overseas profit is about to more than double

Overseas steel and raw materials made ¥123bn of underlying business profit in FY2025; the FY2026 forecast is ¥320bn. U.S. Steel alone swings from a ¥6bn loss to at least ¥180bn.

02 The domestic base is restructured

Kashima upstream closure and contract-price reform cut the domestic break-even by 40%. The H2 FY2026 run-rate target was raised to at least ¥900bn of annualised underlying profit.

03 Financing risk is gone

¥600bn of convertible bonds, a ¥500bn hybrid loan and ¥900bn of JBIC-led loans refinanced the U.S. Steel bridge loan by March 2026. The 2030 plan sets a ¥24 minimum dividend and a D/E target of about 0.7.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
“Chinese steel exports will keep crushing spreads.”	They hit the domestic business, which is why we focus on overseas: U.S. Steel sells behind Section 232 tariffs and India grows with local demand.
“U.S. Steel was overpriced and is politically constrained.”	The golden share limits closures, but FY2026 guidance already assumes U.S. Steel at ≥ ¥180bn after the Gary relining.
“The balance sheet is stretched.”	Adjusted D/E is 0.71 and the debt is now long-dated; the CEO calls ~1.0 acceptable during heavy investment.

08 Financials

LINE	FY2024	FY2025	Q1 FY2026	FY2026 GUIDE
Revenue	¥8,696bn	¥10,063bn	¥2,821bn	¥11,200bn
Underlying business profit	¥794bn	¥650bn	¥108bn	≥ ¥700bn
of which U.S. Steel	—	−¥6bn	¥32bn	≥ ¥180bn
Profit to owners	—	¥17bn*	¥75bn	¥290bn
EPS (post-split)	—	¥3	¥14	¥55
DPS (post-split)	¥32	¥24	—	¥24 (minimum)

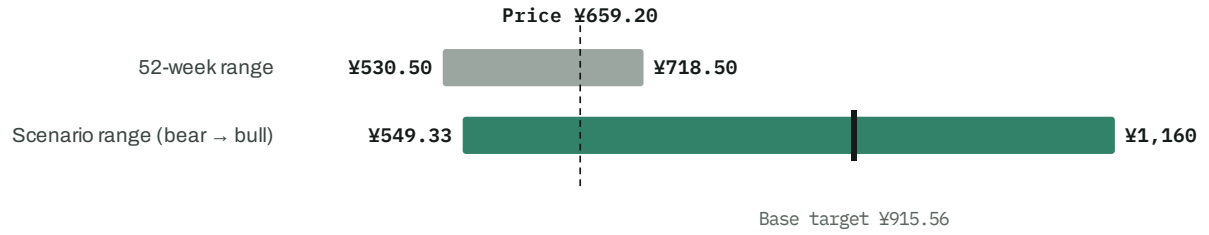
*After ¥271bn of impairments and transfer losses (AM/NS Calvert, Usiminas). Fiscal year ends 31 March (FY2025 = Apr 2025-Mar 2026). Per-share data after the five-for-one split. Sources: Nippon Steel FY2025 and Q1 FY2026 materials.

09 Valuation

Method: Price to book against the return path. Steelmakers trade on book value adjusted for returns. The 2030 plan targets ROE of about 10%, which would justify roughly 1x book; FY2025 ROE was 0.3%. We apply 0.45x (no recovery), 0.75x (FY2026 guide delivered) and 0.95x (path to the 2030 plan) to book value per share implied by the 0.54x third-party P/B.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	0.45x book (¥1,221 BVPS)	¥549.33	−17%	U.S. Steel turnaround stalls; equity raise
Base	**0.75x book (¥1,221 BVPS)**	**¥915.56**	**+39%**	**FY2026 guide delivered; H2 run-rate ≥ ¥900bn**
Bull	0.95x book (¥1,221 BVPS)	¥1,160	+76%	On track for ≥ ¥1tn and ROE ~10% by FY2030

Valuation range · base case marked



10 Catalysts

Early Nov 2026
H1 FY2026 results: does H1 underlying profit reach ¥250bn?

H2 FY2026
Gary furnace back from relining; Big River 2 ramp-up; Nagoya hot strip mill

FY2026
Asset sales of at least ¥100bn

May 2027
FY2026 results and first FY2027 forecast

2026-2028
Remaining ~$7bn of the $11bn US investment programme

11 Risks & sell rules

RISK	MITIGANT
U.S. Steel execution and capex overrun	Tariff protection; $0.3bn synergies in FY2026
Leverage and convertible dilution	Long-dated financing; ¥730+ conversion prices
Chinese oversupply	Domestic cost base reset
Profit flattered by yen and inventory gains	Base case on operating run-rate

WE CHANGE THE CALL IF

- H2 FY2026 underlying profit annualising well below ¥900bn
- U.S. Steel profit falling back toward zero, or D/E above ~1.0
- A cut to the ¥24 minimum dividend or further overseas impairments

The bear case, taken seriously

The bear case: the domestic business is in structural decline, ¥5tn of net debt and convertible dilution cap equity upside, the golden share stops the company from cutting capacity at U.S. Steel, and the profit upgrade relies partly on a weak yen. In that case 0.6x book is a value trap.

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12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why is P/B the right metric for a steelmaker?

Earnings swing with the cycle, book value is more stable. The question is the ROE the book can earn: 10% justifies about 1x.

Q What is the biggest risk?

That U.S. Steel's turnaround depends on tariffs. If protection weakens, the overseas story breaks.

Q How do the convertibles affect the thesis?

About ¥600bn converting at ~¥733 means roughly 820m new shares. They convert only if the stock rises ~11%, so dilution comes with success.

Q What will you check at the November results?

Whether H1 underlying profit reaches ¥250bn and the H2 run-rate target of ≥ ¥900bn holds.

13 Glossary

Underlying business profit	Nippon Steel's operating profit excluding inventory valuation effects.
Golden share	A special share held by a government that gives veto rights over key decisions.
Integrated steelmaker	Makes steel from iron ore in blast furnaces, as opposed to recycling scrap in electric furnaces.
Section 232	US law used to impose tariffs on steel imports on national-security grounds.

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Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: ArcelorMittal, Nucor, Steel Dynamics (pipeline peer set); JFE, POSCO, Kobe Steel for regional context.

Student research for educational and interview purposes. Not investment advice. Prices as of close, 29 Oct 2026.